(ii) *Incentive for cut in the revenue deficit:* The amount by which states cut their revenue deficit would be written off by the Centre from their borrowings.

(iii) *Freedom for market borrowings:* Once states start with FRAs, they would be allowed to manage a part of their planned expenditure via market borrowings. This is supposed to bring in fiscal prudence among the states.

States have started following the new ideas suggested by the FC and enacted by the Centre. In this way the historic FRBM Act is getting a new meaning in the economy. At the same time, the complaint of states that they are dependent on central funds is also on the wane.

Q. 15 Write a note on the benefits of the VAT to the Indian economy.

Ans. Value Added Tax (VAT) is an indirect tax to be collected at all those points where value is added to a product. It has the following positive impacts on the economy:

(i) Due to differentiation among states regarding the rates of the Sales Tax, India was having differentiated market prices, this tax will bring in 'uniformity' in the market.

(ii) Since this tax is imposed at different points of the value addition chain, it does not impose tax upon tax; that's why there won't be any 'cascading effect' of tax on inflation.

(iii) This will automatically check the evasion of the sales tax.

(iv) This is a pro-poor tax without being anti-rich.

(v) This will enhance production levels as prices go down and cousumption increases.

(vi) Supportive to the economic growth.

(vii) It will increase the tax revenue of the states.

(viii)It will become easier to attain fiscal responsibility for the economy.

Q. 16 Write a note on the prospects and challenges to Indian agriculture in the WTO regime.